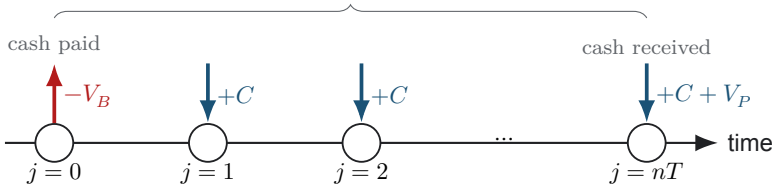


coupon security: nT coupons, then par at maturity



$$\longleftarrow PV_0(\bar{c}_j) = \mathcal{D}_{j,0}^{-1}(\bar{r}) \bar{c}_j \longrightarrow$$

net cash flow: $\bar{c}_0 = -V_B$, $\bar{c}_j = C$ for $0 < j < nT$, $\bar{c}_{nT} = C + V_P$